

Canada Bread Company, Limited

Interim Report to Shareholders

For the First Quarter Ended

March 31, 2013

Management's Discussion and Analysis

For the first quarter ended March 31, 2013

May 1, 2013

FINANCIAL OVERVIEW

Canada Bread Company, Limited ("the Company") sales for the first quarter decreased 0.4% to $368.7 million, but increased 0.6% after adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K. This increase in sales was mostly due to price increases in the fresh and North American frozen bakery businesses and higher croissant volumes in the U.K., all of which were partly offset by lower volumes in the fresh bread business.

Adjusted Operating Earnings[(i) (ii)] for the first quarter increased to $17.1 million compared to $7.9 million last year, largely due to improved performance in the fresh bakery business. Results from the frozen and fresh pasta businesses also increased while earnings from the U.K. operations were consistent with last year.

Net earnings[(i)] in the quarter were $2.3 million ($0.09 basic earnings per share) compared to $0.2 million ($0.01 basic earnings per share) last year which included $10.4 million of pre-tax restructuring and other related costs (2012: $5.9 million). Adjusted Earnings per Share[(i) (iii)] for the first quarter were $0.45 compared to $0.19 last year.

Notes:

(i) 2012 figures have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements.

(ii) Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures on page 9.

(iii) Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share attributable to common shareholders, and is adjusted for all items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures on page 9.

OPERATING REVIEW

The following table summarizes sales by business segment:

($ thousands) (Unaudited)	First Quarter		
	2013	2012	Change
Fresh Bakery	**$ 242,665**	$ 248,183	(2.2)%
Frozen Bakery	**126,040**	122,061	3.3%
Total Sales	**$ 368,705**	$ 370,244	(0.4)%

The following table summarizes Adjusted Operating Earnings by business segment:

($ thousands) (Unaudited)	First Quarter		
	2013	2012[(i)]	Change
Fresh Bakery	**$ 13,260**	$ 6,589	101.2%
Frozen Bakery	**3,841**	1,267	203.2%
Adjusted Operating Earnings	**$ 17,101**	$ 7,856	117.7%

(i) 2012 Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited consolidated condensed interim financial statements.

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the first quarter declined 2.2% to $242.7 million from $248.2 million last year as lower volumes were partly offset by price increases implemented at the fresh bread business.

Adjusted Operating Earnings increased to $13.3 million compared to $6.6 million last year. The substantial earnings increase in the fresh bread business was mostly the result of improved operating efficiencies, contribution from the new Hamilton, Ontario bakery and non-recurrence of SAP start-up costs incurred last year. Also benefiting earnings were price increases and lower advertising & promotional costs. During the quarter, approximately $3 million of duplicative overhead costs were incurred, pending the closure of a third Toronto bakery. These costs, expected to be approximately $5 million in total for the first half of the year, will be eliminated in early June when the bakery is closed and production transferred to the Company's recently constructed Hamilton, Ontario bakery. Earnings improvement in the fresh pasta business resulted from an inventory write-off in the first quarter of last year that did not re-occur.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the first quarter increased 3.3% to $126.0 million from $122.1 million in 2012. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 6.4%, primarily due to higher croissant volumes in the U.K. bakery, as well as higher pricing in the North American business.

Adjusted Operating Earnings for the first quarter increased to $3.8 million compared to $1.3 million last year. Higher margins in the North American frozen bakery business were largely due to price increases implemented during the quarter. Although the U.K. bakery business benefited from higher volumes and the closure of the Walsall facility last year, increased marketing spending during the quarter to support continued growth of the *New York Bakery* brand offset these improvements.

GROSS MARGIN

Gross margin in the first quarter was $67.9 million (or 18.4% of sales) compared to $61.8 million (or 16.7% of sales) last year. The improvement was driven by increased operating efficiencies, improved pricing in the North American fresh bread and frozen bakery businesses, higher volumes in the U.K., and non-recurrence of a write-off of fresh pasta last year. These benefits were partly offset by lower volumes in the fresh bread business.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses decreased by 5.7% to $50.8 million (or 13.8% of sales) in the first quarter of 2013 compared to $53.9 million (or 14.6% of sales) last year. The decrease is primarily due to lower advertising & promotional spending in the Fresh Bakery segment.

OTHER INCOME

Other expense for the first quarter of 2013 was $2.5 million compared to other income of $nil last year, primarily related to a $3.6 million impairment on long lived assets of a U.K. specialty products bakery that is expected to be sold in the second quarter.

RESTRUCTURING AND OTHER RELATED COSTS

During the three months ended March 31, 2013, the Company recorded restructuring and other related costs of $10.6 million ($7.8 million after-tax), before the impact of any reversals.

Of this pre-tax amount, $7.6 million related to severances and other related costs in connection with changes in management structure. A further $2.7 million the closure of bakeries in Grand Falls, New Brunswick and Edmonton, Alberta comprising severance and other employee related costs of $1.7 million, accelerated depreciation on assets of $0.5 million and $0.5 million in other project related costs. The balance of restructuring costs of $0.3 million was in connection with other on-going restructuring initiatives.

During the three months ended March 31, 2012, the Company recorded restructuring and other related costs of $5.9 million ($4.6 million after-tax), before the impact of any reversals.

Of this pre-tax amount, $3.7 million related to accelerated depreciation and other costs in connection with the closure of the Walsall, U.K. bakery. A further $2.0 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs of $0.2 million was incurred in connection with other on-going restructuring initiatives.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at March 31, 2013 and March 31, 2012, all on a pre-tax basis:

	Severance	**Site closing and other cash costs**	**Asset impairment and accelerated depreciation**	**Retention**	**Pension**	**Total**
Balance at December 31, 2012	**$ 6,566**	**$ 3,930**	**$ –**	**$ 62**	**$ –**	**$ 10,558**
Charges	**9,751**	**623**	**635**	**213**	**(650)**	**10,572**
Reversals	**(161)**	**–**	**–**	**–**	**–**	**(161)**
Cash payments	**(2,972)**	**(865)**	**–**	**(163)**	**–**	**(4,000)**
Non-cash items	**–**	**–**	**(635)**	**–**	**650**	**15**
Balance at March 31, 2013	**$ 13,184**	**$ 3,688**	**$ –**	**$ 112**	**$ –**	**$ 16,984**

	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at January 1, 2012	$ 14,975	$ 6,776	$ –	$ 1,196	$ –	$ 22,947
Charges	127	1,094	4,628	35	–	5,884
Cash payments	(7,125)	(2,732)	–	(377)	–	(10,234)
Non-cash items	144	(144)	(4,628)	–	–	(4,628)
Balance at March 31, 2012	$ 8,121	$ 4,994	$ –	$ 854	$ –	$ 13,969

INCOME TAXES

The Company's income tax expense in the first quarter of 2013 was comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 28.9% (2012: 36.4%) and taxes recoverable on restructuring and other related costs at a rate of 26.0% (2012: 22.3%). The lower tax rate on operating earnings in the first quarter of 2013 was a result of the relative proportion of earnings in different tax jurisdictions.

TRANSACTIONS WITH RELATED PARTIES

The Company is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"). Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf. During year ended December 31, 2012, the Company signed a new management service agreement, with substantially similar terms and conditions to the pre-existing agreement.

Fees paid to Maple Leaf in the three months ended March 31, 2013 for these services were $13.2 million (2012: $12.4 million). At March 31, 2013, the total outstanding balance payable to Maple Leaf was $5.1 million (2012: $3.7 million).

The Company has a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. At March 31, 2013 the Company had drawn $1.5 million (2012: $2.4 million) against this facility.

The Company sponsors a number of defined benefit and defined contribution plans. The Company's contributions to these plans were $2.4 million in the three months ended March 31, 2013 (2012: $3.0 million).

CAPITAL RESOURCES

The Company is exposed to fluctuations in the prices of raw materials, particularly wheat costs, seasonal and other market-related price changes. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements are funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance on-going business requirements and its planned capital investment program for at least the next 12 months.

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

As at March 31, 2013, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $86.9 million (2012: $278.0 million), and available cash of $92.4 million (2012: $37.3 million). There were $14.9 million in letters of credit outstanding as at March 31, 2013 (2012: $10.8 million). The Company's principal credit facility is subject to certain financial covenants. As at March 31, 2013 the Company was in compliance with all of its covenants.

To access competitively priced financing and to further diversify its funding sources, the Company operates a three-year committed accounts receivable securitization facility. Under the facility, the Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AA. The receivables are sold at a discount to face value based on prevailing money market rates. At March 31, 2013, the Company had $92.5 million (2012: $96.8 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $49.9 million (2012: $44.9 million) and a note receivable in the amount of $42.6 million (2012: $51.9 million). The maximum amount available to the Company under this program is $60.0 million. The facility expires in October 2013 and Management expects to renew the facility prior to its expiration date.

The securitization facility is subject to certain restrictions and requires the maintenance of certain covenants. The Company was in compliance with all of the requirements of the facility during the first quarter of 2013. This facility was accounted for as an off-balance sheet transaction under International Financial Reporting Standards ("IFRS"). If the facility was terminated, the Company would recognize the securitized amounts on the consolidated balance sheet and would consider alternative financing if required.

CAPITAL EXPENDITURES

Capital expenditures in the first quarter of 2013 were $6.5 million, compared to $10.7 million in the first quarter of 2012. Capital expenditures are lower as the Hamilton bakery is mostly complete, and capital investments are expected to return to lower, historical levels. During 2013, the Company will continue to invest in an expansion of its bagel production capacity in the U.K. to meet increasing demand for its bagel products.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $87.8 million at the end of the quarter, compared to $87.1 million as at December 31, 2012 and $33.2 million at the end of the first quarter of 2012. The increase in cash for the quarter is mainly due to cash generated from operations offset by increased dividend payments and investment in property and equipment.

Cash Flow from Operating Activities

Cash flow from continuing operations in the first quarter of 2013 was an inflow of $17.0 million compared to an outflow of $5.5 million in the prior year period. The increase is mainly attributable to higher Adjusted Operating Earnings and a decreased investment in working capital compared to the prior year period.

Cash Flow from Financing Activities

Cash flow from financing activities was an outflow of $11.1 million in the first quarter of 2013 compared to an outflow of $5.1 million in the prior year period, due to an increase in the rate of the quarterly dividend payment.

Cash Flow from Investing Activities

Cash flow from investing activities was an outflow of $3.9 million in the first quarter of 2013 compared to an outflow of $8.2 million in the prior year period, as a result of decreased capital expenditures primarily related to the completion of the new bakery facility in Hamilton, Ontario.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice sectors. The Company performs on-going credit evaluations of new and existing customers' financial conditions and reviews the collectability of its trade accounts receivable and other receivables in order to mitigate any possible credit losses. As at March 31, 2013, approximately $0.2 million (2012: $0.5 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individual exposures. As at March 31, 2013, the Company has recorded an allowance for doubtful accounts of $nil (2012: $2.0 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts.

SUBSEQUENT EVENTS

On April 4, 2013, the Company entered into an agreement to sell a bakery, producing specialty products, located in London, U.K.

On April 16, 2013, the Company announced plans to close a bakery in Shawinigan, Quebec on May 3, 2013. The Company will incur approximately $3.1 million before taxes in restructuring costs, including approximately $1.6 million of cash costs.

OTHER MATTERS

On May 1, 2013, the Company declared a dividend of $0.50 per share payable on July 2, 2013 to shareholders of record at the close of business on June 7, 2013. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year[iii]
Sales[i]	**2013**	**$ 368,705**	**$ –**	**$ –**	**$ –**	**$ –**
	2012	370,244	404,861	401,494	390,701	1,567,300
	2011	371,760	406,245	417,171	400,280	1,595,456
Net earnings (loss)[i][ii]	**2013**	**$ 2,281**	**$ –**	**$ –**	**$ –**	**$ –**
	2012	159	26,095	23,535	21,691	71,480
	2011	(966)	14,904	30,256	7,757	51,951
Earnings (loss) per Share[i][ii]						
Basic and diluted	**2013**	**$ 0.09**	**$ –**	**$ –**	**$ –**	**$ –**
	2012	0.01	1.03	0.93	0.85	2.81
	2011	(0.04)	0.59	1.19	0.31	2.04
Adjusted EPS[iv]	**2013**	**$ 0.45**	**$ –**	**$ –**	**$ –**	**$ –**
	2012	0.19	1.06	0.93	0.97	3.15
	2011	0.56	0.97	1.24	0.67	3.43

[i] *Figures are in accordance with IFRS and the net earnings, earnings per share and Adjusted Earnings per Share are based on amounts attributable to common shareholders.*

[ii] *2012 Net earnings (loss) and earnings per share have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements. 2011 figures have not been restated.*

[iii] *May not add due to rounding.*

[iv] *Refer to Non-IFRS Financial Measures starting on page 10.*

Quarterly sales in 2013 were affected by the following significant items:

- price increases implemented during 2013 at the North American fresh and frozen bakery businesses
- lower sales volume in the fresh bakery business
- higher volumes in the U.K. bakery business
- exiting fresh and in-store bakery bread production in the U.K. in March 2012

Quarterly net earnings in 2013 were affected by the following significant items:

- price increases implemented during 2013 at the North American fresh and frozen bakery businesses
- lower volumes in the fresh bakery business
- improved operating efficiencies at the fresh bakery business, including lower waste and the contribution of the new Hamilton fresh bakery
- lower advertising and promotional expenses at the fresh bakery business compared to last year
- duplicative overhead costs related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit of certain bread categories in the U.K.
- inventory write-down in the fresh pasta business during the first quarter of 2012 that was not repeated
- lower selling, administrative and general management costs
- an impairment charge on long lived assets of a U.K. specialty products bakery which the Company entered into an agreement to sell subsequent to March 31, 2013
- restructuring and other related costs

Quarterly sales in 2012 were affected by the following significant items:

- price increases implemented during 2011 and the first quarter of 2012 in the North American frozen bakery operations
- lower sales volumes in the Company's fresh bread business
- the sale of the fresh sandwich product line at the beginning of 2011
- the Company's exit from fresh and in-store bakery bread production in the U.K. in March 2012

Quarterly net earnings in 2012 were affected by the following significant items:

- lower sales volumes in the Company's fresh bread and fresh pasta businesses
- supply chain issues experienced in the fresh pasta business
- inventory write-downs in the fresh pasta business during the first quarter of 2012
- duplicative overhead costs during the first nine months related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit from production of certain bread categories in the U.K.
- lower raw material costs as a result of positive hedging activities
- lower selling, administrative and general management costs
- higher inflationary costs in the business
- restructuring and other related costs
- settlement of a legal claim in the second quarter of 2012 related to the Company's fresh sandwich product line which was sold in 2011.

SIGNIFICANT ACCOUNTING POLICIES

Accounting Standards Adopted During the Period

The Company applied, for the first time, certain standards and amendments, some of which required restatement of previous financial statements. This included IFRS 10 *Consolidated Financial Statements*, IFRS 11 *Joint Arrangements*, IAS 19 (2011) *Employee Benefits*, IFRS 13 *Fair Value Measurement* and amendments to IAS 1 *Presentation of Financial Statements*. As required by IAS 34 *Interim Financial Reporting and IAS 8 Accounting Policies, Change in Accounting Estimates and Errors*, the nature and the effect of these changes are disclosed below. In addition, the application of IFRS 12 *Disclosure in Other Entities* will result in additional disclosures that the Company will disclose for the first time in the annual consolidated financial statements for the year ending December 31, 2013.

Several other new standards and amendments apply for the first time in 2013. However, they do not impact the annual consolidated financial statements of the Company or the interim consolidated financial statements of the Company.

The nature and the impact of each new standard is described below:

Financial Assets and Liabilities

During the quarter the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures* on a retrospective basis. These amendments contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. As the Company is not offsetting financial instruments and does not have relevant offsetting arrangements, the adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company.

Consolidated Financial Statements

During the quarter the Company adopted IFRS 10 *Consolidated Financial Statements* on a retrospective basis. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements* that address consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPEs")*, in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27. The adoption of IFRS 10 had no impact on the Company's Financial Statements.

Joint Arrangements

During the quarter the Company adopted the amendment to IFRS 11 *Joint Arrangements* on a retrospective basis. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As the Company does not have any joint arrangements, the adoption of IFRS 11 did not have any impact on the Company.

Disclosure of Interests in Other Entities

During the quarter the Company adopted IFRS 12 *Disclosure of Interests in Other Entities*. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities. Any new disclosure required by the adoption of this standard will be presented for the first time in the annual financial statements for the year ending December 31, 2013.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. The Company adopted IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The disclosure requirements are not required for interim consolidated financial statements, unless significant events and transactions in the interim period require that they are provided. Accordingly, the Company will make any relevant disclosures in its annual statements for the year ending December 31, 2013.

Fair Value Measurement

During the quarter the Company adopted IFRS 13 *Fair Value Measurement* on a prospective basis. IFRS 13 replaces the fair value measurement guidance contained in individual IFRS with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The adoption of IFRS 13 did not have a material impact on the fair value measurements carried out by the Company. Additional disclosures required as a result of the adoption of IFRS 13 are included in Note 11 of the unaudited condensed consolidated financial statements.

Presentation of Items of Other Comprehensive Income – Amendment to IAS 1

During the quarter the Company adopted the amendment to IAS 1 *Presentation of Financial Statements* on a retrospective basis. The amendment requires that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The amendment affected the presentation of the consolidated statement of other comprehensive income and had no impact on the financial results of the Company.

Employee Benefits

During the quarter the Company adopted the revised IAS 19 *Employee Benefits* on a retrospective basis with restatement. The revised standard requires that the calculation of expected return on assets and interest cost be replaced with a net interest, calculated based on the discount rate at the beginning of the year multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the

Company as incurred rather than included in the expected return. The impact of adopting revised IAS 19 was a decrease in earnings before tax of $0.9 million ($0.7 million after-tax) for the quarter ended March 31, 2012, which is further discussed in Note 18 of the unaudited condensed consolidated financial statements. This standard also has other amendments clarifying the timing of recognition of termination benefits, the adoption of which had no impact to the Company.

Recent Accounting Pronouncements

Financial Instruments – Recognition and Measurement

In October 2010, the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to IAS 32 *Financial Instruments: Presentation*. The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The effective date for the amendments to IAS 32 is annual periods beginning or after January 1, 2014. The Company intends to adopt the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments to IAS 32 has not yet been determined.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

There have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2013 and ended on March 31, 2013 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in the earnings in futures periods when the underlying asset is sold or transferred. The table below provides a reconciliation of net earnings as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three month periods as indicated below to Adjusted Operating Earnings. Management believes that this basis is the most appropriate on which to evaluate operating results, as they are representative of the on-going operations of the Company.

($ thousands) *(Unaudited)*	Three months ended March 31, 2013 Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$ 2,281**
Income taxes			**1,499**
Earnings from operations before income taxes			**$ 3,780**
Interest expense			**397**
Earnings from operations before interest and income taxes	**$ 4,157**	**$ 20**	**$ 4,177**
Other (income) expense	**(1,298)**	**3,811**	**2,513**
Restructuring and other related costs	**10,401**	**10**	**10,411**
Adjusted Operating Earnings	**$ 13,260**	**$ 3,841**	**$ 17,101**

($ thousands) *(Unaudited)*	Three months ended March 31, 2012[i] Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 159
Income taxes			1,398
Earnings from operations before income taxes			$ 1,557
Interest expense			437
Earnings from operations before interest and income taxes	$ 4,673	$ (2,679)	$ 1,994
Other (income) expense	(231)	209	(22)
Restructuring and other related costs	2,147	3,737	5,884
Adjusted Operating Earnings	$ 6,589	$ 1,267	$ 7,856

[i] *2012 Net earnings and Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements.*

Adjusted Earnings per Share

Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share attributable to common shareholders, and is adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of basic earnings per share as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three month periods as indicated below to Adjusted Earnings per Share. Management believes this basis is the most appropriate on which to evaluate financial results as they are representative of the on-going operations of the Company.

($ per share) *(Unaudited)*	Three months ended March 31, **2013**	2012[i]
Basic earnings per share	**$ 0.09**	$ 0.01
Items not considered representative of on-going operations[ii]	**0.06**	–
Restructuring and other related costs[iii]	**0.30**	0.18
Adjusted Earnings per Share[iv]	**$ 0.45**	$ 0.19

[i] *2012 Basic earnings per share and Adjusted Earnings per Share have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements.*

[ii] *Includes gains/losses associated with non-operational activities, including gains/losses related to restructuring activities, business combinations, discontinued operations, and assets held for sale, all net of tax.*

[iii] *Includes per share impact of restructuring and other related costs, net of tax.*

[iv] *May not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis to IFRS amounts in the unaudited condensed consolidated interim balance sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

($ thousands) *(Unaudited)*	As at March 31, **2013**	2012
Bank indebtedness	**$ 3,088**	$ 4,786
Current portion of long-term debt	**531**	2,567
Long-term debt	**4,138**	1,567
Sub-total	**$ 7,757**	$ 8,920
Cash and cash equivalents	**(95,526)**	(42,070)
Net cash	**$(87,769)**	$(33,150)

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by Management. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding the use of derivatives, futures and options, expectations regarding the timing and amount of capital investments, expectations regarding the timing and cost of old facility closures and new facility openings, the expected use of cash balances, source of funds for on-going business requirements including renewal of existing securitization facilities, capital investments and debt repayment, expectations regarding LEED® certification, expectations regarding the impact of new accounting standards, expectations regarding sufficiency of the allowance for uncollectible accounts and expectations regarding pension plan performance and future pension liabilities and contributions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from on-going litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information include, among other things:

- the risks associated with changes in the Company's systems and processes
- the risks associated with the management service agreement with Maple Leaf
- the Company's exposure to currency exchange risks

- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options
- the impact of international events on commodity prices and the free flow of goods
- the risks associated with a consolidating retail environment
- the risks related to capital expansion projects
- the risks posed by food contamination, consumer liability and product recalls
- the risks related to acquisitions and divestitures
- the risks posed by compliance with extensive government regulation
- the risks posed by litigation
- the impact of changes in consumer tastes and buying patterns
- the impact of extensive environmental regulation and potential environmental liabilities
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks associated with the Company's independent distributors
- the risks posed by competition
- the risks associated with pricing the Company's products
- the risks associated with managing the Company's supply chain
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2012 that is available on SEDAR at www.sedar.com. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90.0% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2012 sales of $1.6 billion and employs approximately 6,400 people at its operations across North America and in the United Kingdom.

Consolidated Balance Sheets

(In thousands of Canadian dollars) (Unaudited)	**As at March 31, 2013**	As at March 31, 2012	As at December 31, 2012	As at January 1, 2012
		(Restated) (Note 18)	*(Restated) (Note 18)*	*(Restated) (Note 18)*
ASSETS				
Current assets				
Cash and cash equivalents	**$ 95,526**	$ 42,070	$ 90,415	$ 59,223
Accounts receivable *(Note 4)*	**47,683**	47,670	49,435	56,522
Note receivable *(Note 4)*	**42,611**	51,910	44,063	45,847
Inventories *(Note 5)*	**61,661**	56,181	62,766	60,048
Income taxes recoverable	**167**	7,572	–	2,162
Prepaid expenses and other assets	**7,002**	3,244	4,972	5,218
	$254,650	$ 208,647	$ 251,651	$ 229,020
Property and equipment	**399,861**	416,505	410,479	425,944
Investment property	**9,148**	9,546	9,103	8,415
Other long-term assets	**5,190**	4,460	4,994	4,456
Deferred tax asset	**18,200**	15,812	17,874	17,917
Goodwill *(Note 7)*	**265,934**	264,342	264,243	266,013
Intangible assets *(Note 8)*	**9,753**	12,814	11,647	12,710
Total assets	**$ 962,736**	$ 932,126	$ 969,991	$ 964,475
LIABILITIES AND SHAREHOLDERS' EQUITY				
Current liabilities				
Bank indebtedness	**$ 3,088**	$ 4,786	$ –	$ 3,153
Accounts payable and accruals	**162,416**	170,421	169,431	185,811
Provisions *(Note 9)*	**17,357**	14,140	9,928	23,066
Due to Maple Leaf Foods Inc. *(Note 14)*	**5,116**	3,650	4,830	2,451
Dividends payable	**12,708**	5,083	12,708	5,083
Income taxes payable	**–**	–	2,008	–
Current portion of long-term debt	**531**	2,567	358	2,452
	$ 201,216	$ 200,647	$ 199,263	$ 222,016
Long-term debt	**4,138**	1,567	2,921	1,634
Deferred tax liability	**21,119**	18,607	19,998	21,784
Employee benefits *(Note 6)*	**47,855**	51,199	56,011	50,434
Provisions *(Note 9)*	**5,039**	5,046	6,277	5,005
Total liabilities	**$ 279,367**	$ 277,066	$ 284,470	$ 300,873
Shareholders' equity				
Share capital	**$ 142,965**	$ 142,965	$ 142,965	$ 142,965
Retained earnings	**551,398**	525,308	555,322	530,852
Accumulated other comprehensive loss *(Note 10)*	**(10,994)**	(13,213)	(12,766)	(10,215)
Total shareholders' equity	**$ 683,369**	$ 655,060	$ 685,521	$ 663,602
Total liabilities and shareholders' equity	**$ 962,736**	$ 932,126	$ 969,991	$ 964,475

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts) *(Unaudited)*	Three months ended March 31, **2013**	2012 *(Restated) (Note 18)*
Sales	**$ 368,705**	$ 370,244
Cost of goods sold	**300,797**	308,489
Gross margin	**$ 67,908**	$ 61,755
Selling, general and administrative expenses	**50,807**	53,899
Earnings before the following:	**$ 17,101**	$ 7,856
Restructuring and other related costs *(Note 9)*	**(10,411)**	(5,884)
Other (expense) income *(Note 12)*	**(2,513)**	22
Earnings before interest and income taxes	**$ 4,177**	$ 1,994
Interest expense *(Note 13)*	**397**	437
Earnings before income taxes	**$ 3,780**	$ 1,557
Income taxes	**1,499**	1,398
Net earnings	**$ 2,281**	$ 159
Earnings per share		
Basic and diluted earnings per share	**$ 0.09**	$ 0.01
Weighted average number of shares (millions)	**25.4**	25.4

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Comprehensive Income (Loss)

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended March 31, **2013**	2012 *(Restated) (Note 18)*
Net earnings	**$ 2,281**	$ 159
Other comprehensive income (loss)		
Item that will not be reclassified to profit or loss:		
Change in actuarial gains and losses	**6,503**	(620)
Total item that will not be reclassified to profit or loss	**6,503**	(620)
Items that are or may be reclassified subsequently to profit or loss:		
Change in accumulated foreign currency translation adjustment	**928**	(2,298)
Change in unrealized gains and losses on cash flow hedges	**844**	(700)
Total items that are or may be reclassified subsequently to profit or loss	**$ 1,772**	$ (2,998)
	$ 8,275	$ (3,618)
Comprehensive income (loss)	**$ 10,556**	$ (3,459)

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars) (Unaudited)	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive loss**	**Total shareholders' equity**
Balance at December 31, 2012 (restated) *(Note 18)*	**$ 142,965**	**$ 555,322**	**$ (12,766)**	**$ 685,521**
Net earnings	**–**	**2,281**	**–**	**2,281**
Other comprehensive income	**–**	**6,503**	**1,772**	**8,275**
Dividends declared ($0.50 per share)	**–**	**(12,708)**	**–**	**(12,708)**
Balance at March 31, 2013	**$ 142,965**	**$ 551,398**	**$(10,994)**	**$683,369**

(In thousands of Canadian dollars) (Unaudited)	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
				(Restated) (Note 18)
Balance at January 1, 2012 (restated) *(Note 18)*	$ 142,965	$ 530,852	$ (10,215)	$663,602
Net earnings	–	159	–	159
Other comprehensive loss	–	(620)	(2,998)	(3,618)
Dividends declared ($0.20 per share)	–	(5,083)	–	(5,083)
Balance at March 31, 2012 (restated) *(Note 18)*	$ 142,965	$ 525,308	$ (13,213)	$655,060

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) (Unaudited)	Three months ended March 31, **2013**	2012 *(Restated) (Note 18)*
CASH (USED IN) PROVIDED BY:		
Operating activities		
Net earnings	**$ 2,281**	$ 159
Add (deduct) items not affecting cash:		
Depreciation and amortization	**12,777**	11,349
Deferred income taxes	**(2,502)**	(207)
Income tax current	**4,001**	1,605
Interest expense	**397**	437
Gain on sale of long-term assets	**(1,316)**	(231)
Change in provision for restructuring and other related costs	**6,421**	(4,350)
Impairment of assets	**3,570**	–
Increase (decrease) in pension liability	**1,282**	(36)
Net income taxes paid	**(8,591)**	(6,555)
Interest received (paid)	**64**	(359)
Other	**142**	150
Change in non-cash operating working capital	**(1,513)**	(7,427)
Cash (used in) provided by operating activities	**$ 17,013**	$ (5,465)
Financing activities		
Dividends paid	**$(12,708)**	$ (5,083)
Net increase in long-term debt	**1,650**	–
Cash used in financing activities	**$ (11,058)**	$ (5,083)
Investing activities		
Additions to long-term assets	**$ (6,488)**	$(10,657)
Proceeds from sale of long-term assets	**2,556**	2,419
Cash used in investing activities	**$ (3,932)**	$ (8,238)
Increase (decrease) in cash and cash equivalents	**$ 2,023**	$(18,786)
Net cash and cash equivalents, beginning of period	**90,415**	56,070
Net cash and cash equivalents, end of period	**$ 92,438**	$ 37,284
Net cash and cash equivalents is comprised of:		
Cash and cash equivalents	**$ 95,526**	$42,070
Bank indebtedness	**(3,088)**	(4,786)
Net cash and cash equivalents, end of period	**$ 92,438**	$ 37,284

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Notes to the Condensed Consolidated Interim Financial Statements

(Tabular amounts in thousands of Canadian dollars, unless otherwise indicated)
(Unaudited)
Three months ended March 31, 2013 and 2012

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7 Canada. The condensed consolidated interim financial statements of the Company as at and for the three months ended March 31, 2013 include the accounts of the Company and its subsidiaries. The Company's results are organized into two segments: Fresh Bakery and Frozen Bakery. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. BASIS OF PREPARATION

(a) Statement of Compliance

The unaudited condensed consolidated interim financial statements (or "consolidated financial statements") have been prepared in accordance with International Accounting Standards ("IAS") 34 *Interim Financial Reporting* as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described therein, consistent with the Company's 2012 annual audited consolidated financial statements except for new accounting standards adopted during the period as described in Note 3(a).

The consolidated financial statements were approved for issue by the Board of Directors on May 1, 2013.

(b) Basis of Measurement

The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments and defined benefit plan assets and liabilities that are stated at fair value.

(c) Functional and Presentation Currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of Estimates and Judgments

The preparation of consolidated financial statements in accordance with International Financial Reporting Standards ("IFRS") requires Management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Judgments included in the financial statements are decisions made by Management, based on an analysis of relevant information available at the time the decision is made. Judgments relate to application of accounting policies, and decisions related to the measurement, recognition and disclosure of financial amounts.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included both below and in the statement notes relating to items subject to significant estimate uncertainty.

Long-lived Assets Valuation

The Company performs impairment testing on its long-lived assets annually for goodwill and intangible assets, and when circumstances indicate that there may be impairment, for other long-lived assets. Management's judgment is involved in determining if there are circumstances indicating that testing for impairment is required, and in determining the grouping of assets to identify their Cash Generating Units ("CGU") for the purpose of impairment testing.

The Company assesses impairment by comparing the recoverable amount of a long-lived asset, CGU or CGU group to its carrying value. The recoverable amount is defined as the higher of: (i) value in use, or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management's judgment and estimation.

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

Provisions for Inventory

Management makes estimates of the future customer demand for our products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code or "best before" dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, inventory, net earnings, and comprehensive income (loss) will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, accrued liabilities, net earnings, and comprehensive income (loss) will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected health care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. To the extent that these estimates differ from those realized, employee benefit plan assets and liabilities and comprehensive income (loss) will be affected.

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements. Changes to these estimates may affect the value of provisions, earnings and other comprehensive income (loss).

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect the carrying value of these assets, net earnings and comprehensive income (loss).

3. SIGNIFICANT ACCOUNTING POLICIES

The consolidated financial statements should be read in conjunction with the Company's 2012 annual audited consolidated financial statements. These consolidated financial statements have been prepared in accordance with IFRS using the same accounting policies as were applied from the 2012 annual consolidated financial statements, except for new standards adopted during the period.

(a) Accounting Standards Adopted During the Period

The Company applied, for the first time, certain standards and amendments, some of which required restatement of previous financial statements. This included IFRS 10 *Consolidated Financial Statements*, IFRS 11 *Joint Arrangements*, IAS 19 (2011) *Employee Benefits*, IFRS 13 *Fair Value Measurement* and amendments to IAS 1 *Presentation of Financial Statements*. As required by IAS 34 *Interim Financial Reporting* and IAS 8 *Accounting Policies, Change in Accounting Estimates and Errors*, the nature and the effect of these changes are disclosed below. In addition, the application of IFRS 12 *Disclosure in Other Entities* will result in additional disclosures that the Company will disclose for the first time in the annual consolidated financial statements for the year ending December 31, 2013.

Several other new standards and amendments apply for the first time in 2013. However, they do not impact the annual consolidated financial statements of the Company or the interim consolidated financial statements of the Company.

The nature and the impact of each new standard are described below:

Financial Assets and Liabilities

During the quarter the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures* on a retrospective basis. These amendments contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. As the Company is not offsetting financial instruments and does not have relevant offsetting arrangements, the adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company.

Consolidated Financial Statements

During the quarter the Company adopted IFRS 10 *Consolidated Financial Statements* on a retrospective basis. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements* that address consolidation, and supersedes SIC-12 *Consolidation—Special Purpose Entities ("SPEs")*, in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27. The adoption of IFRS 10 had no impact on the Company.

Joint Arrangements

During the quarter the Company adopted the amendment to IFRS 11 *Joint Arrangements* on a retrospective basis. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities—Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As the Company does not have any joint arrangements, the adoption of IFRS 11 did not have any impact on the Company.

Disclosure of Interests in Other Entities

During the quarter the Company adopted IFRS 12 *Disclosure of Interests in Other Entities*. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated

structured entities. Any new disclosure required by the adoption of this standard will be presented for the first time in the annual financial statements for the year ending December 31, 2013

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. The Company adopted IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The disclosure requirements are not required for interim consolidated financial statements, unless significant events and transactions in the interim period require that they are provided. Accordingly, the Company will make any relevant disclosures in its annual statements for the year ending December 31, 2013.

Fair Value Measurement

During the quarter the Company adopted IFRS 13 *Fair Value Measurement* on a prospective basis. IFRS 13 replaces the fair value measurement guidance contained in individual IFRS with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The adoption of IFRS 13 did not have a material impact on the fair value measurements carried out by the Company. Additional disclosures required as a result of the adoption of IFRS 13 are included in Note 11.

Presentation of Items of Other Comprehensive Income – Amendment to IAS 1

During the quarter the Company adopted the amendment to IAS 1 *Presentation of Financial Statements* on a retrospective basis. The amendment requires that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The amendment affected the presentation of the consolidated statement of other comprehensive income and had no impact on the financial results of the Company.

Employee Benefits

During the quarter the Company adopted the revised IAS 19 *Employee Benefits* on a retrospective basis with restatement. The revised standard requires that the calculation of expected return on assets and interest cost be replaced with a net interest, calculated based on the discount rate at the beginning of the year multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the Company as incurred rather than included in the expected return. The impact of adoption is further discussed in Note 18. This standard also has other amendments clarifying the timing of recognition of termination benefits, the adoption of which had no impact to the Company.

(b) Recent Accounting Pronouncements

Financial Instruments – Recognition and Measurement

In October 2010, the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to IAS 32 *Financial Instruments: Presentation*. The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The effective date for the amendments to IAS 32 is annual periods beginning or after January 1, 2014. The Company intends to adopt the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments to IAS 32 has not yet been determined.

4. ACCOUNTS RECEIVABLE AND NOTE RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and a very limited recourse obligation for delinquent receivables. At March 31, 2013, trade accounts receivable being serviced under this program amounted to $92.5 million (March 31, 2012: $96.8 million; December 31, 2012: $95.3 million). In return for the sale of its trade receivables, the Company received cash of $49.9 million (March 31, 2012: $44.9 million; December 31, 2012: $51.2 million) and a note receivable in the amount of $42.6 million (March 31, 2012: $51.9 million; December 31, 2012: $44.1 million). The note receivable is non-interest bearing and is due on the settlement dates of the securitized accounts receivable.

The Company operates a trade accounts receivable securitization program that requires the sale of trade accounts receivable to be treated as a sale from an accounting perspective and as a result, trade accounts receivable balances sold under this program are derecognized in the consolidated balance sheets as at January 1, 2012, December 31, 2012, March 31, 2012 and March 31, 2013. The agreement expires in October 2013.

Components of accounts receivable are as follows:

	As at March 31, 2013	As at March 31, 2012	As at December 31, 2012	As at January 1, 2012
Trade receivables	**$ 32,506**	$ 33,980	$ 34,607	$ 40,032
Less: Allowance for doubtful account	**–**	(2,016)	–	(1,914)
Net trade receivables	**$ 32,506**	$ 31,964	$ 34,607	$ 38,118
Other receivables	**15,177**	15,706	14,828	18,404
	$ 47,683	$ 47,670	$ 49,435	$ 56,522

The aging of trade receivables is as follows:

	As at March 31, 2013	As at March 31, 2012	As at December 31, 2012	As at January 1, 2012
Current	**$ 30,919**	$ 33,258	$ 33,939	$ 37,790
Past due 0-30 days	**1,304**	117	161	1,338
Past due 31-60 days	**43**	115	—	287
Past due 61-90 days	**30**	104	205	371
Past due > 90 days	**210**	386	302	246
	$ 32,506	$ 33,980	$ 34,607	$ 40,032

The Company maintains an allowance for doubtful accounts that represents its estimate of any uncollectible amounts based on specific losses estimated on individual exposures.

5. INVENTORIES

	As at March 31, 2013	As at March 31, 2012	As at December 31, 2012	As at January 1, 2012
Raw materials	**$12,293**	$ 14,057	$ 14,506	$ 14,347
Work in process	**65**	57	69	34
Finished goods	**21,586**	17,480	20,403	19,692
Packaging	**8,207**	8,400	9,074	9,160
Spare parts	**19,510**	16,187	18,714	16,815
	$ 61,661	$ 56,181	$ 62,766	$ 60,048

During the three months ended March 31, 2013, inventory in the amount of $210.2 million (2012: $214.3 million) was expensed through cost of goods sold.

6. EMPLOYEE BENEFITS

During the three months ended March 31, 2013, the Company recorded $4.2 million (2012: $3.8 million) related to net benefit plan expense including post-retirement benefit costs.

7. GOODWILL

Cost	**March 31, 2013**	March 31, 2012
Opening balance	**$ 378,638**	$ 378,743
Foreign currency translation	**(967)**	(709)
Balance	**$ 377,671**	$ 378,034
Impairment losses		
Opening balance	**$ (114,395)**	$ (112,730)
Foreign currency translation	**2,658**	(962)
Balance	**$ (111,737)**	$ (113,692)
Carrying amounts	**$ 265,934**	$ 264,342

For the purposes of annual impairment testing, goodwill is allocated to the following groups of Cash Generating Units ("CGUs"), being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose:

	As at March 31, 2013	As at March 31, 2012	As at December 31, 2012	As at January 1, 2012
CGU Groups				
Canadian fresh bakery	**$ 123,867**	$ 123,867	$ 123,867	$ 123,867
North American frozen bakery	**140,042**	138,450	138,351	140,121
Fresh pasta	**2,025**	2,025	2,025	2,025
	$ 265,934	$ 264,342	$ 264,243	$ 266,013

8. INTANGIBLE ASSETS

	As at March 31, 2013	As at March 31, 2012	As at December 31, 2012	As at January 1, 2012
Indefinite life	**$ 1,282**	$ 1,639	$ 1,272	$ 1,350
Definite life	**8,471**	11,175	10,375	11,360
Total intangible assets	**$ 9,753**	$ 12,814	$ 11,647	$ 12,710

All indefinite life intangible assets are part of the Fresh Bakery CGU group.

9. PROVISIONS

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[i]	Total
Balance at December 31, 2012[ii]	**$ 394**	**$ 1,495**	**$ 3,758**	**$ 10,558**	**$ 16,205**
Charges	**–**	**–**	**–**	**10,572**	**10,572**
Reversals	**–**	**(103)**	**–**	**(161)**	**(264)**
Cash payments	**(23)**	**–**	**–**	**(4,000)**	**(4,023)**
Non-cash items	**–**	**–**	**(109)**	**15**	**(94)**
Balance at March 31, 2013	**$ 371**	**$ 1,392**	**$3,649**	**$ 16,984**	**$ 22,396**
Current					**$ 17,357**
Non-current					**5,039**
Total at March 31, 2013					**$ 22,396**

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[i]	Total
Balance at January 1, 2012	$ 119	$ 1,495	$ 3,510	$ 22,947	$ 28,071
Charges	81	–	–	5,884	5,965
Cash payments	(31)	–	–	(10,234)	(10,265)
Non-cash items	–	–	43	(4,628)	(4,585)
Balance at March 31, 2012	$ 169	$ 1,495	$ 3,553	$ 13,969	$ 19,186
Current					$ 14,140
Non-current					5,046
Total at March 31, 2012					$ 19,186

[i] *For additional information on restructuring and other related costs, see the table below.*

[ii] *Balance at December 31, 2012 includes current portion of $9.9 million and non-current portion of $6.3 million.*

Restructuring and Other Related Costs

During the three months ended March 31, 2013, the Company recorded restructuring and other related costs of $10.6 million ($7.8 million after-tax), before the impact of any reversals.

Of this pre-tax amount, $7.6 million related to severances and other related costs in connection with changes in management structure. A further $2.7 million was in respect of the closure of bakeries in Grand Falls, New Brunswick and Edmonton, Alberta comprising severance and other employee related costs of $1.7 million, accelerated depreciation on assets of $0.5 million and $0.5 million in other project related costs. The balance of restructuring costs of $0.3 million was in connection with other on-going restructuring initiatives.

During the three months ended March 31, 2012, the Company recorded restructuring and other related costs of $5.9 million ($4.6 million after-tax), before the impact of any reversals.

Of this pre-tax amount, $3.7 million related to accelerated depreciation and other costs in connection with the closure of the Walsall, U.K. bakery. A further $2.0 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs of $0.2 million was incurred in connection with other ongoing restructuring initiatives.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at March 31, 2013 and March 31, 2012, all on a pre-tax basis:

	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2012	**$ 6,566**	**$ 3,930**	**$ –**	**$ 62**	**$ –**	**$ 10,558**
Charges	**9,751**	**623**	**635**	**213**	**(650)**	**10,572**
Reversals	**(161)**	**–**	**–**	**–**	**–**	**(161)**
Cash payments	**(2,972)**	**(865)**	**–**	**(163)**	**–**	**(4,000)**
Non-cash items	**–**	**–**	**(635)**	**–**	**650**	**15**
Balance at March 31, 2013	**$ 13,184**	**$ 3,688**	**$ –**	**$ 112**	**$ –**	**$ 16,984**

	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at January 1, 2012	$ 14,975	$ 6,776	$ –	$ 1,196	$ –	$ 22,947
Charges	127	1,094	4,628	35	–	5,884
Cash payments	(7,125)	(2,732)	–	(377)	–	(10,234)
Non-cash items	144	(144)	(4,628)	–	–	(4,628)
Balance at March 31, 2012	$ 8,121	$ 4,994	$ –	$ 854	$ –	$ 13,969

Impairment

During the three months ended March 31, 2013, the Company recorded $nil million (2012: $0.1 million) of impairment of fixed assets through restructuring and other related costs.

10. ACCUMULATED OTHER COMPREHENSIVE LOSS ATTRIBUTABLE TO SHAREHOLDERS

	Foreign currency translation adjustments[i]	Unrealized gain (loss) on cash flow hedges[i]	Change in actuarial gains and (losses)[ii]	Total accumulated other comprehensive loss
Balance at December 31, 2012	**$ (12,723)**	**$ (43)**	**$ –**	**$ (12,766)**
Other comprehensive income	**928**	**844**	**6,503**	**8,275**
Transfer to retained earnings	**–**	**–**	**(6,503)**	**(6,503)**
Balance at March 31, 2013	**$ (11,795)**	**$ 801**	**$ –**	**$ (10,994)**

	Foreign currency translation adjustments[i]	Unrealized gain (loss) on cash flow hedges[i]	Change in actuarial gains and (losses)[ii]	Total accumulated other comprehensive loss
Balance at January 1, 2012	$ (10,743)	$ 528	$ –	$ (10,215)
Other comprehensive loss	(2,298)	(700)	(620)	(3,618)
Transfer to retained earnings	–	–	620	620
Balance at March 31, 2012	$ (13,041)	$ (172)	$ –	$ (13,213)

[i] *Items that are or may be reclassified subsequently to profit or loss.*

[ii] *Items that will not be reclassified to profit or loss.*

The change in accumulated foreign currency translation adjustments includes tax of $nil for the three months ended March 31, 2013 (2012: $nil).

The change in unrealized gain (loss) on cash flow hedges includes tax of $0.3 million for the three months ended March 31, 2013 (2012: $0.3 million).

The change in actuarial gains and losses includes tax of $2.3 million for the three months ended March 31, 2013 (2012: $0.3 million).

The Company estimates that $0.8 million of the unrealized loss included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the three months ended March 31, 2013, loss of $0.2 million net-of-tax (2012: gain of $0.5 million net-of-tax) was released to earnings from accumulated other comprehensive loss and is included in the net change for the period.

11. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

The Company is exposed to credit risk, interest rate risk, liquidity risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple cost-effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2012.

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held-for-trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf Foods Inc.	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments[i]	Held-for-trading

[i] *These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.*

The Company applies hedge accounting and uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in foreign exchange rates and commodity prices.

The fair values and notional amounts of derivative financial instruments at March 31 are shown below:

	2013			2012		
	Notional amount[i]	**Fair value**		Notional amount[i]	Fair value	
		Asset	**Liability**		Asset	Liability
Cash flow hedges						
Foreign exchange contracts[ii][iii]	**$ –**	**$ 1,077**	**$ –**	$ 31,613	$ –	$ 248
Derivatives not designated in a formal hedging relationship						
Foreign exchange contracts[ii]	**$ 50,967**	**$ 29**	**$ –**	$ 15,264	$ 14	$ –
Total fair value		**$ 1,106**	**$ –**		$ 14	$ 248
Current		**$ 1,106**	**$ –**		$ 14	$ 248
Non-current		**–**	**–**		–	–
Total fair value		**$ 1,106**	**$ –**		$ 14	$ 248

[i] *Notional amounts are stated at the contractual Canadian dollar equivalent.*

[ii] *Derivatives are short-term and will impact profit or loss at various dates within the next 12 months.*

[iii] *The fair value represents the accumulated value of foreign exchange commodity contracts executed within the period. The accumulated other comprehensive income balance related to this balance will be released against a future pre-determined delivery schedule in accordance with the hedging program.*

The fair value of financial assets classified as loans and receivables and other financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature.

The carrying value of long-term debt as at March 31, 2013 was $4.7 million (March 31, 2012: $4.1 million; December 31, 2012: $3.3 million), which approximates the fair value.

Financial assets and liabilities classified as held-for-trading are recorded at fair value. The fair values of the Company's foreign exchange derivative financial instruments were determined using current market measures for foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value is determined based on exchange prices.

Derivatives not designated in a formal hedging relationship are classified as held-for-trading. Net gains (losses) on financial instruments held-for-trading consist of realized and unrealized gains (losses) on derivatives that were de-designated or were otherwise not in a formal hedging relationship. During the three months ended March 31, 2013, the Company recorded $nil million (2012: $nil) on financial instruments held-for-trading.

For the three months ended March 31, 2013 and 2012, the amount of hedge ineffectiveness recognized in earnings was nominal.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ –	$ 1,106	$ –	**$ 1,106**
	$ –	**$ 1,106**	**$ –**	**$ 1,106**

There were no transfers between levels during the quarter ended March 31, 2013. Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. For financial instruments that are recognised at fair value on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization at the end of each reporting period.

12. OTHER (EXPENSE) INCOME

	Three months ended March 31,	
	2013	2012
Gain on sale of property and equipment	**$ 1,316**	$ 231
Impairment of assets	**(3,570)**	–
Other	**(259)**	(209)
	$ (2,513)	$ 22

Impairment

During the quarter the Company recorded impairment of $3.6 million related to the long-lived assets of a U.K. specialty products bakery that the Company has agreed to sell pursuant to an agreement signed subsequent to the quarter end, as described in Note 17. The assets were written down to their fair value less costs to sell.

13. INTEREST EXPENSE

	Three months ended March 31,	
	2013	2012
Interest expense on securitized receivables	**$ 266**	$ 242
Deferred finance charge	**58**	58
Interest expense on long-term debt	**45**	40
Other interest charges	**28**	97
	$ 397	$ 437

14. RELATED PARTY TRANSACTIONS

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf. During year ended December 31, 2012, the Company signed a new management service agreement, with substantially similar terms and conditions to the pre-existing agreement.

Fees paid to Maple Leaf in the three months ended March 31, 2013 for these services were $13.2 million (2012: $12.4 million). At March 31, 2013, the total outstanding balance payable to Maple Leaf was $5.1 million (March 31, 2012: $3.7 million; December 31, 2012: $4.8 million).

The Company has a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. At March 31, 2013 the Company had drawn $1.5 million (2012: $2.4 million) against this facility.

The Company sponsors a number of defined benefit and defined contribution plans. The Company's contributions to these plans were $2.4 million in the three months ended March 31, 2013 (2012: $3.0 million).

15. GOVERNMENT INCENTIVES

During the three months ended March 31, 2013, the Company recorded a $2.0 million interest-free loan from the Canadian government related to the purchase of equipment. The loan is repayable over a period of eight years beginning in 2013.

16. SEGMENTED FINANCIAL INFORMATION

Reportable Segmented Information

The Company has two reportable segments, as described below, which are groupings of the Company's CGUs. These segments offer different products, have separate management structures and have their own marketing strategies and brands. The Company's Management regularly reviews internal reports for these segments. The following describes the operations of each segment:

(a) Fresh Bakery comprises fresh bakery products, sweet goods, specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

(c) Non-allocated assets comprises corporate assets not separately identifiable to business segment groups. These include, but are not limited to, corporate property, plant and equipment, investment properties, and tax balances.

	Three months ended March 31,	
	2013	2012
Sales		
Fresh Bakery	**$ 242,665**	$ 248,183
Frozen Bakery	**126,040**	122,061
	$ 368,705	$ 370,244
Earnings before restructuring and other related costs and other income		
Fresh Bakery	**$ 13,260**	$ 6,589
Frozen Bakery	**3,841**	1,267
	$ 17,101	$ 7,856
Capital expenditures		
Fresh Bakery	**$ 1,841**	$ 9,194
Frozen Bakery	**4,647**	1,463
	$ 6,488	$ 10,657
Depreciation and amortization		
Fresh Bakery	**$ 8,049**	$ 7,057
Frozen Bakery	**4,728**	4,292
	$ 12,777	$ 11,349

	As at March 31, 2013	As at March 31, 2012	As at December 31, 2012	As at January 1, 2012
Total assets				
Fresh Bakery	**$ 495,095**	$ 513,106	$ 504,062	$ 516,485
Frozen Bakery	**340,886**	353,533	356,311	368,534
Non-allocated assets	**126,755**	65,487	109,618	79,456
	$ 962,736	$ 932,126	$ 969,991	$ 964,475
Goodwill				
Fresh Bakery	**$ 125,892**	$ 125,892	$ 125,892	$ 125,892
Frozen Bakery	**140,042**	138,450	138,351	140,121
	$ 265,934	$ 264,342	$ 264,243	$ 266,013

Information about Geographic Areas

Property, equipment and investment property located outside of Canada was $94.8 million (March 31, 2012: $99.2 million; December 31, 2012: $98.3 million). Of this amount, $55.0 million (March 31, 2012: $62.0 million; December 31, 2012: $59.1 million) was located in the U.S. and $39.8 million (March 31, 2012: $37.2 million; December 31, 2012: $39.2 million) was located in the U.K.

Goodwill attributed to operations located outside of Canada was $86.6 million (March 31, 2012: $85.0 million; December 31, 2012: $84.9 million), which is all attributed to operations in the U.S.

Revenues earned outside of Canada for the three months ended March 31, 2013 were $101.2 million (2012: $91.2 million). Of this amount $61.5 million (2012: $56.1 million) was earned in the U.S. and $39.7 million (2012: $34.2 million) was earned in the U.K. Revenue by geographic area is determined based on the shipping location.

Information about Major Customers

During the three months ended March 31, 2013, the Company reported sales to two customers, each representing greater than 10% of total sales. Sales to one customer represented 15.8% (2012: 17.9%) of total sales, while sales to the second customer represented 10.3% (2012: 12.4%) of total sales. These revenues were reported in both the Fresh Bakery and Frozen Bakery segments. No other sales were made to any one customer that represented in excess of 10% of total sales.

17. SUBSEQUENT EVENTS

On April 4, 2013, the Company entered into an agreement to sell a bakery, producing specialty products, located in London, U.K.

On April 16, 2013, the Company announced plans to close a bakery in Shawinigan, Quebec on May 3, 2013. The Company will incur approximately $3.1 million before taxes in restructuring costs, including approximately $1.6 million of cash costs.

18. IMPACT OF ADOPTION OF NEW ACCOUNTING STANDARDS DURING THE PERIOD

Beginning January 1, 2013, the Company adopted revised IAS 19 *Employee Benefits* on a retrospective basis with restatement. Under revised IAS 19, the Company is required to calculate the expected return on asset of the pension plan and its related interest costs based on the current discount rate multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the Company as incurred rather than included in the expected return. The discount rate used to calculate the net interest charge on the pension plan is 3.75% (2012: 4.5%).

The impact of the adoption of revised IAS 19 is a decrease in earnings before tax of $0.9 million ($0.7 million after-tax) for the quarter ended March 31, 2012. The Company has restated as follows:

Three months ended March 31,	2012	**Impact of IAS 19**	**2012**
			(Restated)
Selling, general and administrative expenses[(i)]	$52,994	$ 905	**$ 53,899**
Income taxes	1,623	(225)	**1,398**
Net earnings	839	(680)	**159**
Earnings per share attributable to common shareholders[(ii)]			
Basic and diluted earnings per share	$ 0.03	$(0.02)	**$ 0.01**

Consolidated Statements of Comprehensive Loss

Three months ended March 31,	2012	**Impact of IAS 19**	**2012**
			(Restated)
Net earnings	$ 839	$ (680)	**$ 159**
Change in actuarial gain	(1,300)	680	**(620)**
Comprehensive loss	(3,459)	–	**(3,459)**

Consolidated Statements of Changes in Total Equity

	March 31, 2012
Total equity, pre-adoption of revised IAS 19	$ 655,060
Impact of revised IAS 19 on:	
Net loss	(680)
Other comprehensive income	680
Total equity under revised IAS 19	**$655,060**

(i) Increase of selling, general and administrative expenses includes $0.7 million increase in pension expenses and $0.2 million increase in pension administrative fees due to adoption of revised IAS 19.

(ii) Calculated based on weighted number of shares of 25.4 million (2012: 25.4 million).

There was no material impact on the Company's interim consolidated balance sheet.



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